

Micron Technology, Inc.

MU NASDAQ

Buy	\$1059.36 ▼ 0.43%	12M Price Target \$1250.00	52-Week Range \$179.61 – \$1255.00	Market Cap \$1.20T
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MU: HBM Dominance Meets CHIPS Act Round Two Tailwinds

WHAT HAPPENED

- Quiet tape — MU down 0.4% on light volume (13.5M shares vs the usual 30M+), which tells me nobody's panic-selling, they're just waiting for the next catalyst. The stock is consolidating near all-time highs after the Oct 1 pop to \$1097, and that's actually healthy price action — stocks that refuse to give back gains usually resolve higher.
- Options flow is screaming bullish: put/call ratio of 0.54 and massive unusual call buying at the \$1060-\$1070 strikes expiring this month (14x normal open interest). Somebody with real money is betting MU breaks out before month-end.

WHY IT MATTERS

Here's what the quiet drift actually means — MU is holding 82% of its 52-week range after a monster run from \$179 to \$1255. That kind of base-building near highs, combined with aggressive near-term call buying, usually precedes a breakout attempt, not a breakdown. The bigger story: Micron is now the undisputed #2 in HBM (high-bandwidth memory, the stuff that goes into every NVIDIA AI chip), and with HBM supply sold out through 2027, the earnings power is still being underestimated by consensus. Watch for whether the Oct expiration calls get rolled forward — if they do, that's smart money saying the breakout thesis is multi-month, not a one-week trade.

POLICY & POLITICAL WATCH

The big one on the Hill right now is "CHIPS Act 2.0" chatter — a potential expansion of the semiconductor subsidy program, with Micron already slated to receive ~\$6.1B from the original Act for its Idaho and New York fabs. If a second round passes, MU is first in line because they're the only American-headquartered memory maker. On the other side, watch China retaliation risk: Beijing banned Micron from critical infrastructure sales in 2023, and any escalation in the US-China tech cold war (export controls on HBM to China are being debated right now) cuts both ways — bad for China revenue, great for pricing power everywhere else.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1059.36
12M Price Target	\$1250.00
Upside / (Downside)	+18.0%
Market Cap	\$1.20T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	24.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1180.00	\$1100.00	\$980.00
6 Months	\$1350.00	\$1200.00	\$900.00
1 Year	\$1500.00	\$1250.00	\$850.00
2 Years	\$1800.00	\$1450.00	\$750.00
5 Years	\$2500.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.2%) and Energy (+3.9% on the week) — this is the "AI power demand" trade, where investors realize data centers need electricity and that's bullish for whoever generates it. Industrials also catching a bid on infrastructure spending momentum.

COOLING OFF: Tech isn't in today's top movers, which is why MU is drifting — the sector is taking a breather after a huge run. Nothing broken, just rotation.

ROTATION WATCH: Money is moving to the "second derivative" AI plays — utilities, nuclear, grid infrastructure. That's actually bullish for MU because it confirms institutional belief in sustained AI capex, which is what buys the memory.

RELATED PLAY: If you believe the HBM thesis, Applied Materials (AMAT) and Lam Research (LRCX) sell the equipment Micron needs to build those fabs — they're the picks-and-shovels of the picks-and-shovels.

WHO'S WINNING IN THIS SPACE?

- NVDA (NVIDIA): Still the gravitational center of AI capex — every dollar they spend on next-gen GPUs pulls MU's HBM revenue along with it
- AVGO (Broadcom): Custom ASIC wins at hyperscalers are reinforcing the "AI compute keeps growing" narrative that MU directly benefits from

MU CONTEXT: Micron is right in the middle of the pack — not leading like NVDA, not lagging like Intel. That's actually ideal here; it means the stock has room to re-rate higher as HBM becomes a bigger % of the revenue mix and the market stops valuing it as a cyclical memory name.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not quite pounding the table at these levels, but the setup (bullish options flow, base-building, policy tailwinds, HBM supply tightness) is as clean as it gets.

POSITION SIZE: 3-5% of portfolio — memory stocks are volatile even when the story is good, so size for the swings, not just the direction.

ENTRY POINTS: Add on pullbacks to \$980-1020 (roughly the 50-day moving average zone). Chasing above \$1100 means you're paying up for the breakout.

TIME HORIZON: 12-24 months — the catalyst is FY2027 earnings estimates getting revised higher as HBM contracts flow through, plus any CHIPS Act 2.0 announcement.

WHEN TO BAIL: If NVIDIA qualifies Samsung HBM3E/HBM4 at scale, or if MU guides HBM pricing down on an earnings call — either one breaks the thesis.

HEDGING: Buy some out-of-the-money SOXX puts (the semi ETF) as cheap insurance — if the whole sector rolls over, you get paid without having to time MU specifically.